

Buy the Rumour Sell the News

Team 4 Presentation

Betanya Binyam, Gelila Solomon, Ngan
Huynh, Seble Bedassa

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Research Question

Do analyst upgrades lead to **higher 30-day stock returns** for large-cap consumer retail firms (e.g., SBUX, LULU, COST, ROST, AMZN)?

Executive Summary

Executive summary here

1. **Downgrades outperform Upgrades**
 - Based on our dataset, analyst downgrades are followed by significantly higher 30-day stock returns than upgrades (add graph that shows this)
2. P-value

Data Familiarization and Cleaning

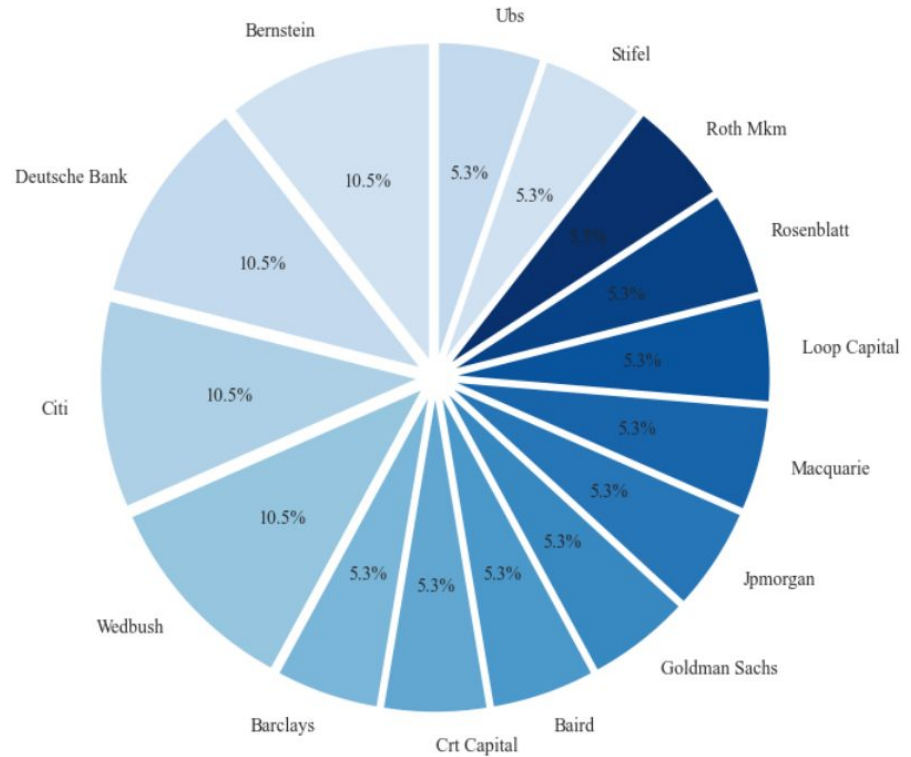
Original Columns of Data: highlight columns that were especially needed for us

What is this dataset?

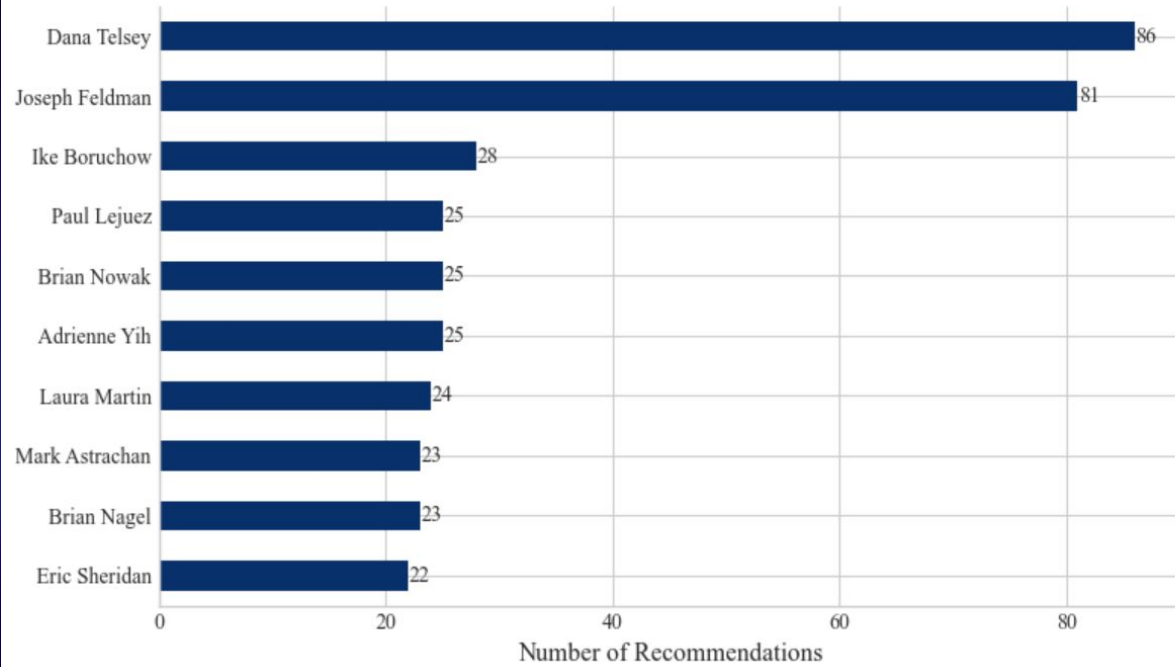
Filtered our the original dataset so that we examine the following stocks:
Starbucks, Costco, Ross, Amazon, and Lululemon

Cleaning Process: rows that have NOT FOUND, null, or were left blank for target process before and after were removed from our data set

Share of Distinct Analysts by Firm



Top Analysts by Number of Recommendations



Exploratory Data Analysis

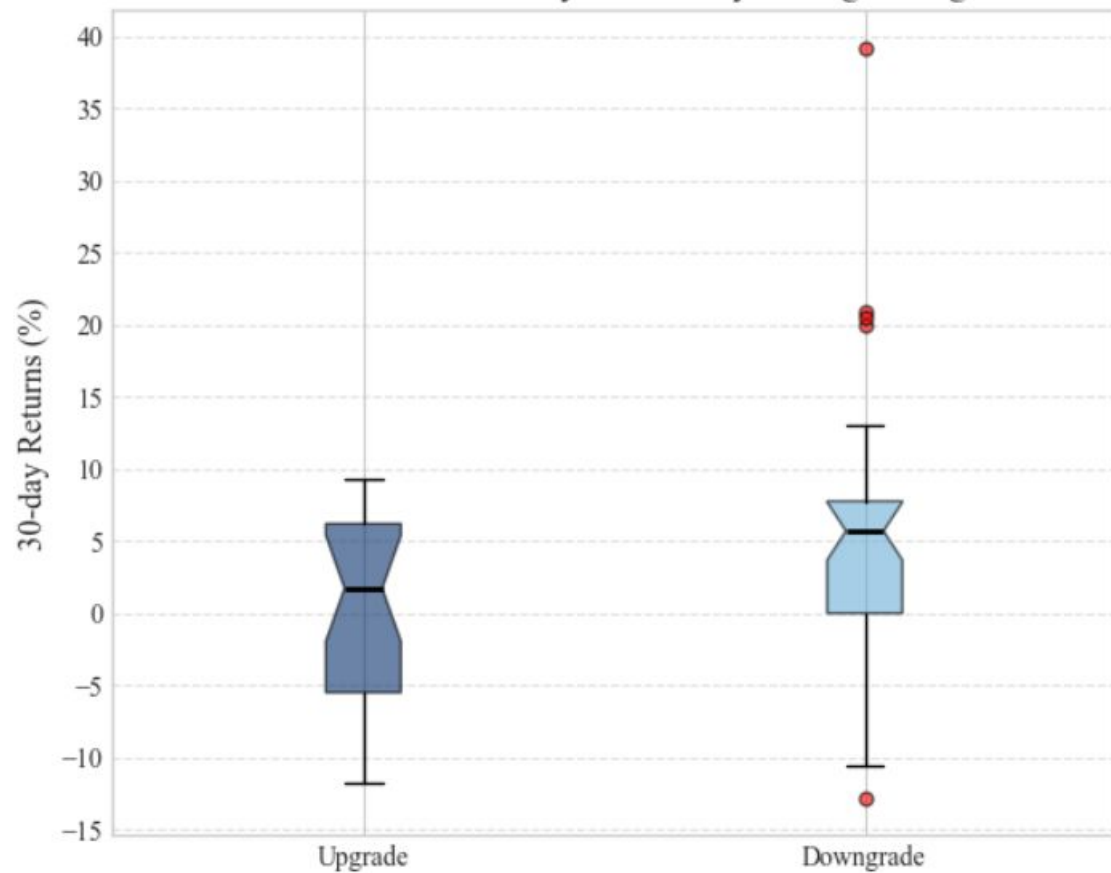
Calculations that we did, tests ran, columns used for calculations and new columns that were created as result

Data

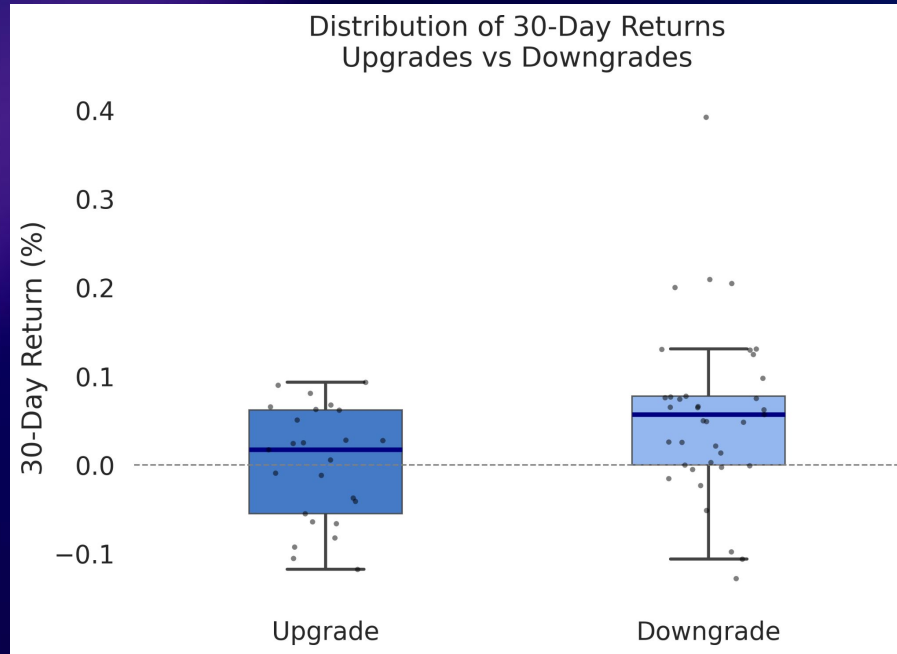
Row	Date	Company Name	Ticker	Broker	Analyst	Rating Before	Rating After	Price Target Before	Price Target After	Event Type	Adjusted Close (t = 0)	Trading Date Recorded (t=5)	Adjusted Close (t=5)	5-day returns	Trading Date Recorded (t=30)	Adjusted Close (t=30), Business Days	30-day returns
122	6/13/2013	Ross Stores Inc	ROST	Crt Capital	Ike Boruchow	Neutral	Buy	36	37.5	Upgrade	28.887438	6/20/2013	28.029747	-0.02969079501	7/25/2013	29.696489	0.02800701814
131	4/17/2015	Ross Stores Inc	ROST	Crt Capital	Ike Boruchow	Short	Neutral	52.5	56	Upgrade	45.177952	4/24/2015	46.68876	0.03964154905	5/29/2015	43.499531	-0.03715132992
428	3/2/2016	Ross Stores Inc	ROST	Roth Mkm	Roxanne Meyer	Neutral	Buy	52	65	Upgrade	52.332558	3/9/2016	51.281193	-0.02009007471	4/13/2016	51.739994	-0.01132304674
39	3/25/2020	Ross Stores Inc	ROST	Goldman Sachs	Alexandra Walvis	Sell	Buy	93	110	Upgrade	76.87796	4/1/2020	76.688805	-0.002460458108	5/6/2020	84.037086	0.09312325665
248	10/14/2021	Ross Stores Inc	ROST	Loop Capital	Laura Champine	Hold	Buy	140	105	Upgrade	103.00502	10/21/2021	105.453003	0.02376566695	11/25/2021	104.786232	0.01729247759
175	2/23/2024	Ross Stores Inc	ROST	Ubs	Jay Sole	Sell	Neutral	85	142	Upgrade	144.970123	3/1/2024	146.537064	0.01080871677	4/5/2024	136.988571	-0.05505653051
1099	4/24/2015	Amazon.com Inc	AMZN	Wedbush	Michael Pachter	Short	Neutral	19.75	21.75	Upgrade	22.254999	5/1/2015	21.143499	-0.04994383509	6/5/2015	21.3475	-0.0407773103
67	8/4/2023	Amazon.com Inc	AMZN	Rosenblatt	Barton Crockett	Neutral	Buy	184	184	Upgrade	139.570007	8/11/2023	138.410004	-0.008311262749	9/15/2023	140.389999	0.005875130464
620	4/20/2017	Starbucks Corp	SBUX	Stifel	Mark Astrachan	Hold	Buy	60	67	Upgrade	49.761635	4/27/2017	50.772095	0.02030600482	6/1/2017	53.018829	0.06545592805
519	12/12/2019	Starbucks Corp	SBUX	Jpmorgan	John Ivankoe	Neutral	Overweight	90	94	Upgrade	77.223701	12/19/2019	77.495102	0.003514478023	1/23/2020	82.07373	0.06280492824



Distribution of 30-day Returns by Rating Change



Graphs



Implications

So what:

Ethical considerations

- When working with the AnaChart dataset, we encountered gaps and missing values—these are entries where some data points were absent, incomplete, or recorded as null.
 - Therefore, this is a limitation because it may not fully cover all analyst recommendations or stock outcomes

Next Steps

Thanks!

Do you have any questions?

youremail@freepik.com

+34 654 321 432

yourwebsite.com



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Resources

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- [Abstract blue northern lights background](#)
- [People working with ai operated devices](#)